

UNITED STATES INTERNATIONAL TRADE COMMISSION

In the Matter of:
CERTAIN SEMICONDUCTOR DEVICES,
PRODUCTS CONTAINING SAME,
AND COMPONENTS THEREOF

) Investigation No.:
) 337-TA-1500
)
)

Pages: 1 - 54
Place: Washington, D.C.
Date: June 2, 2026



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1 UNITED STATES INTERNATIONAL TRADE COMMISSION

2 Washington, D.C.

3 BEFORE THE HONORABLE CLARK S. CHENEY

4 Administrative Law Judge

5 - - - - - x

6 IN THE MATTER OF: : Investigation No.

7 CERTAIN SEMICONDUCTOR DEVICES, : 337-TA-1500

8 PRODUCTS CONTAINING SAME, AND :

9 AND COMPONENTS THEREOF :

10 - - - - - x

11 International Trade Commission

12 Hearing Room A

13 500 E Street, S.W.

14 Washington, D.C.

15 Tuesday, June 2, 2026

16

17 PRELIMINARY CONFERENCE

18

19

20 The hearing commenced, pursuant to the notice of
21 the Judge, at 3:04 p.m. Eastern.

22

23 Reported By: Jemima Brennan, CER

24

25

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1 P R O C E E D I N G S

2 (3:04 p.m.)

3 CHIEF JUDGE CHENEY: For the record, now in
4 investigation number 337-TA-1500. This is Certain
5 Semiconductor Devices Products Containing Same. Good
6 afternoon, everyone. My name is Clark Cheney. I'm the
7 administrative law judge assigned to this investigation.
8 We're meeting together today in an open conference. So the
9 purpose of the conference is to look at the issues in the
10 investigation and see if we can find ways to handle them
11 efficiently. See if we can reduce the cost of working on this
12 incident investigation for all parties. Before we get into
13 those issues, let's begin with entries of appearance,
14 beginning with counsel for the Complainant.

15 MR. NAPLES: Good afternoon, Your Honor.
16 Clement Naples from Cleary Gottlieb for the Plaintiffs.
17 With me here today, also from Cleary Gottlieb, Mr. Bert
18 Reiser, who I believe you know, and Ms. Charity Lee.

19 CHIEF JUDGE CHENEY: Welcome to you.

20 MR. REISER: Thank you, Your Honor.

21 CHIEF JUDGE CHENEY: And for the Respondent.

22 MR. SMITH: Good afternoon, Your Honor. Stephen
23 Smith, Cooley, LLP, on behalf of the Respondent and I'm
24 pleased to be joined by Eaamon Gardner and also Matt
25 Ritter.

1 CHIEF JUDGE CHENEY: Welcome to you. Thank you
2 for being here.

3 So, I've received the parties' proposed
4 procedural schedule. I also have a joint discovery
5 statement that you provided for the investigation was
6 pending before Judge Elliott. Something that is not
7 required under my ground rules, but maybe I'll adopt it
8 because it's very helpful. We'll talk about some things in
9 that today. You'll have plenty of opportunity to ask me
10 questions about my ground rules and about how we're going
11 to proceed with the investigation.

12 The first thing I noticed on your procedural
13 schedule -- first, I noticed that you were on agreement on
14 all of the dates for which I am grateful. Thank you for
15 your cooperation in putting together a complicated
16 procedural schedule.

17 One thing in my ground rules that you might not
18 have seen before, which you've put on August 26th, is the
19 date for seeking judicial assistance in discovery. It's a
20 fancy way of saying subpoenas, but sometimes it's not
21 subpoenas. Sometimes it's an extraterritorial judicial
22 process like the Hague-Convention, so let me start there.

23 Does anyone foresee a need for non-party
24 discovery of the investigation?

25 MR. REISEN: Your Honor, Bert Reiser for the

1 Complainant.

2 At the moment, we do not. We certainly don't
3 envision the need for judicial enforcement, but we're
4 working to identify any issues that may require third-party
5 discovery and we'll get on that soon.

6 CHIEF JUDGE CHENEY: What about from the
7 Respondent side?

8 MR. SMITH: Your Honor, the only thing that
9 we've potentially identified -- and I say "potentially," is
10 prior or third-party subpoenas but we're not in a position
11 to know the exact amount, but we totally understand that we
12 need to get those into you rather quickly, Your Honor, to
13 proceed. So, we're trying to identify, have a small number
14 of those, and get those before you for signature.

15 CHIEF JUDGE CHENEY: Okay. Great.

16 On July 16th, you've put down the deadline for
17 initial responses to Contention Interrogatories on issues
18 for which the Responding Party bears the burden of proof.
19 This is a date that is not required in my procedural
20 schedule and some of you that have appeared before me
21 before know what I'm about to say, which is can you explain
22 to me how I'm going to adjudicate whether you've complied
23 with this initial deadline?

24 MR. REISER: Your Honor, Bert Reiser again.

25 In preparation for the hearing this morning, I

1 read maybe five transcripts of prior hearings, preliminary
2 conferences and I've seen this explained to you and you've
3 talked about the 10-day rule. I think our best
4 explanation, Your Honor, is that there is an understanding
5 between the parties that we don't have anything more to say
6 in regards to contentions today than we did in our
7 Complaint.

8 There isn't an answer yet, so we foresee that
9 there'll be a time when we have discovery. We understand
10 where we are in terms of contentions. And so, this date, I
11 think, is the first date by which you have to give a good
12 faith accounting of what your contentions are in the case.
13 And I know, both as I look at your expression now, and from
14 prior cases that it's not very satisfying to you and I
15 understand that.

16 I think we think of it as a kind of extension on
17 the 10-day response rule as it relates to Contention
18 Interrogatories and an expectation that you'll give good
19 faith contentions on the date we've agreed.

20 CHIEF JUDGE CHENEY: So, if you're read five of
21 these, then you probably know that I am very flexible about
22 this, but I want everyone in this room to have the same
23 understanding of what that date means. And so, Mr. Reiser,
24 I think you're telling me that you think that the date
25 means no one needs to respond to Interrogatories that have

1 already been served as we sit here until July 16th, is that
2 what you're saying?

3 MR. REISER: As they relate to Contentions,
4 that's correct, Your Honor.

5 CHIEF JUDGE CHENEY: Okay. Do Respondents have
6 the same understanding?

7 MR. SMITH: Absolutely, Your Honor.

8 CHIEF JUDGE CHENEY: Okay.

9 So, really, this first date on July 16th is just
10 to toll giving an answer on Contentions until the 16th?

11 MR. SMITH: Yes, Your Honor.

12 CHIEF JUDGE CHENEY: Okay. And then on that
13 date how do I determine if you have satisfied your burden?

14 MR. SMITH: Your Honor, this is the part where
15 I'm not sure I have much good guidance for you. Only we
16 will know what we know and we will have put it out. I
17 think, perhaps, one would only know in retrospect later if
18 there's a Contention that one did not give full good faith
19 responses to Contention Interrogatories, but that will not
20 be apparent on the date they're served.

21 CHIEF JUDGE CHENEY: So, how does this date work
22 in conjunction with the date of November 19th, the deadline
23 for final Contentions?

24 MR. REISER: So, the way I've seen it work in
25 the past, Your Honor, is that as of that first Contention

1 date, you give your best Contentions based on what you know
2 on that date and then later, if you have more discovery and
3 you have a better understanding that you couldn't have in
4 that first date, you lay out the rest of your Contentions.

5 If there are Contentions on that second date
6 that you could and should have made in the first, that is
7 often a bone of contention, saying that as of that date you
8 could've made this Contention and you didn't and you should
9 be precluded from making it later. Does that help, Your
10 Honor?

11 CHIEF JUDGE CHENEY: Is that what you want? Do
12 you want me to preclude Contentions that are offered on the
13 final date that could've been offered by July 16th?

14 MR. REISER: Well, it's a little harsh.

15 CHIEF JUDGE CHENEY: That's why I'm having this
16 conversation.

17 MR. REISER: It's sometimes used as a date that
18 has no meaning to parties and then you end up getting all
19 the Contentions at the very end. We would not want that to
20 happen. It is a good faith standard, or at least, I think
21 of it that way. That you need to put your good faith
22 contentions on paper on that first Contention date.

23 CHIEF JUDGE CHENEY: Does the Respondent have
24 anything to add?

25 MR. SMITH: Just a little bit, Your Honor, in

1 the sense that we all recognize that these are preliminary.
2 That there're about -- what, about six weeks away or so.
3 That they're not going to be final Contentions. But as Mr.
4 Reiser says that you have an obligation to give good faith
5 Contentions at that time. And so, we look at it as more of
6 degree than kind. If there's something that came up during
7 discovery that is completely new, then you're going to be
8 able to put that in your Contentions.

9 If there's something that was at the time that
10 you could've raised at the preliminary Contentions, then
11 you may well be time barred at the end. So, yes, to answer
12 you directly, Your Honor. We agree with Mr. Reiser.

13 CHIEF JUDGE CHENEY: Okay. When you say may
14 well be barred, that means in some circumstances you
15 wouldn't be?

16 MR. SMITH: Well, I think one person's view of
17 what could've been raised and another person's view
18 probably differ, but assuming that no ambiguity there, you
19 would be barred at the end.

20 CHIEF JUDGE CHENEY: Okay, so everyone agrees
21 about the standard.

22 MR. SMITH: Yes.

23 CHIEF JUDGE CHENEY: If we get to the final
24 Contention date and you had a Contention that you could
25 have presented on July 16th, it's barred.

1 MR. SMITH: Correct.

2 CHIEF JUDGE CHENEY: Agreed, Mr. Reiser?

3 MR. REISER: In the main, Your Honor, yes,
4 unless there are circumstances that tend to show that --

5 CHIEF JUDGE CHENEY: I understand you're going
6 to fight about whether these are those circumstances, but I
7 just want to make sure that I'm applying the correct
8 standard and the standard is I'm to determine from your
9 presentations if you could've presented the Contention
10 earlier and if you could have, then it's barred, if I
11 determine you could have.

12 MR. REISER: Yes, Your Honor.

13 MR. SMITH: Yes, Your Honor.

14 CHIEF JUDGE CHENEY: Okay. You can see why I
15 don't put it in my ground rules. There's been just so much
16 fighting about it and so I love parties working together in
17 good faith. You will find no greater champion of parties
18 working together in good faith than me.

19 This is an Order. This is an Order from the
20 Tribunal that you must obey or you run the risk of
21 sanctions, so that's why I'm very careful about having this
22 discussion that we're now going to reduce to an Order. Any
23 other comments about this?

24 MR. REISER: Just because we're here, Your
25 Honor, and you've thought about this so much, is there

1 another option that you seem to have found to work because
2 I will say that the parties -- I just think the nature of
3 the relationship has been good and we're trying to work
4 together as much as possible.

5 CHIEF JUDGE CHENEY: Then it probably won't be a
6 problem. If you feel like I'm trying to put the fear into
7 you, it's because I am because everyone is going to be
8 better off if two things happen. You disclose what you
9 know early and you're totally reasonable with the other
10 side about later disclosures so that I never, ever, ever
11 see a dispute about this. If those two things happen,
12 we're all going to be fine. But if someone brings me a
13 dispute, you better believe I'm going to point back to this
14 transcript on June 2nd and I'm going to say you all agreed
15 that this was the standard. So, it's just a thing I do
16 because I've been burned too many times.

17 MR. REISER: The fear as been sent, Your Honor.

18 CHIEF JUDGE CHENEY: Okay.

19 MR. REISER: It's tricky, right? I mean,
20 everybody tries to do a good job. I totally understand --
21 we understand the important of the position. That's why we
22 tried to fashion it this way.

23 CHIEF JUDGE CHENEY: Yes.

24 MR. REISER: Yes.

25 CHIEF JUDGE CHENEY: And I really believe in the

1 power of this conference when we're all sitting in the room
2 looking at each other in person. I won't burden you with
3 coming to the building very often. We'll have a lot of
4 teleconferences about discovery along the way but hashing
5 these kinds of things out while we're all here together, in
6 my view, has saved so much frustration.

7 And of course, the more cooperative you are on
8 things that are not the merits, the more bandwidth you are
9 going to have and that I'm going to have to understand your
10 very important arguments on the merits and that's really
11 where I'd like to spend most of the investigation. It is
12 not fighting about these discovery matters, but really
13 digging on the merits. And merits, there are a plenty in
14 this investigation.

15 Anything else about the procedural schedule
16 anyone wants to raise?

17 MR. REISER: No, Your Honor.

18 MR. SMITH: None from Respondents, Your Honor.

19 CHIEF JUDGE CHENEY: Okay. Let's talk briefly
20 about the location of the documents and witnesses.

21 Complainant, where are your documents and
22 witnesses located?

23 MR. REISER: Your Honor, our witnesses are in
24 California and in Vermont. There may be a witness in
25 Singapore where some of our products are actually

1 manufactured. We have a domestic industry in the United
2 States, but it may be that we need to call upon a witness
3 from Singapore to talk about practice, but that's where are
4 witnesses are.

5 CHIEF JUDGE CHENEY: How would that witness be
6 deposed?

7 MR. REISER: You know we haven't crossed that
8 bridge, Your Honor. I expect in person and probably in
9 Singapore, but if in the course of discovery it seems best
10 to bring the witness here, we might be able to do that.

11 CHIEF JUDGE CHENEY: So, there's no problem
12 under Singapore law to conduct the deposition in Singapore?

13 MR. REISER: You know, Your Honor, I'm sorry. I
14 don't know the answer to that question.

15 CHIEF JUDGE CHENEY: Okay.

16 MR. REISER: But if there is, we will bring him
17 to a place where he can be deposed.

18 CHIEF JUDGE CHENEY: Okay. And this is a
19 witness that's under your control.

20 MR. REISER: Absolutely.

21 CHIEF JUDGE CHENEY: And you can do that?

22 MR. REISER: Yes.

23 CHIEF JUDGE CHENEY: Okay.

24 MR. REISER: Right.

25 CHIEF JUDGE CHENEY: Great.

1 If you find it more convenient, there's this
2 second microphone that you could move and then maybe you
3 could each have a microphone.

4 MR. REISER: It's not moving very easily, Your
5 Honor.

6 CHIEF JUDGE CHENEY: Okay.

7 MR. REISER: So, we'll just proceed.

8 CHIEF JUDGE CHENEY: You also could move. You
9 could all just move it a little bit.

10 What about the Respondents? Where are your
11 documents and witnesses?

12 MR. SMITH: The witnesses are in California,
13 Your Honor. They're in Texas. We believe there may be one
14 or two in Israel. There may be one or two in Japan.
15 They're all under our control. They all work for us.

16 CHIEF JUDGE CHENEY: So, I know a little bit
17 about depositions in Japan and you have to get on the
18 schedule early. Is that going to be something that needs
19 to happen?

20 MR. SMITH: Your Honor, I think it's more likely
21 the witnesses are going to be from Israel than Japan. If
22 we need to get it on the schedule quickly, we will.

23 CHIEF JUDGE CHENEY: Okay. Tell me about
24 depositions of Israeli witnesses. I'm not so familiar.

25 MR. SMITH: What we believe, Your Honor, is that

1 that you could have in-person depositions. It's not as
2 constrained as it in Japan where you have to formally go
3 through the bilateral treaty, so forth and so on. We
4 believe it's much easier in Israel.

5 CHIEF JUDGE CHENEY: Okay.

6 MR. SMITH: But we're going to check on that to
7 confirm that.

8 CHIEF JUDGE CHENEY: If I were to add to your
9 procedural schedule that any deposition that's going to
10 take place in Japan has to be scheduled by the same date as
11 your judicial process, August 26th, could you live with
12 that?

13 MR. SMITH: Yes.

14 CHIEF JUDGE CHENEY: Does the Complainant have
15 anything to add about that?

16 MR. REISER: No, Your Honor.

17 CHIEF JUDGE CHENEY: Okay.

18 Let's talk about source code. Your joint
19 discovery statement mentioned that this investigation is
20 going to involve source code. Is that really true,
21 Complainant?

22 MR. REISER: Your Honor, I think the bulk of
23 what we would be calling source code in this case are
24 things like process flows for semiconductor manufacturing,
25 the recipes related to semiconductor manufacturing, kind of

1 the crown jewels of the foundry that we, typically, in
2 these cases and I'm sure you're aware, put on a source code
3 computer.

4 There may be some things that are even closer to
5 source core. You've probably heard the term GDS files,
6 things like that. I think actual kind of C++ source code
7 there won't be much, if any of that, as far as we know but
8 I'll let Counsel for Respondents comment on that, but
9 that's my understanding of what would go on a source code
10 tech computer.

11 CHIEF JUDGE CHENEY: Okay, so there's some
12 information, call it what you will, that you want
13 protection beyond the Administrative Protective Order that
14 I've already entered, is that right?

15 MR. REISER: Yes. And that would be on what we
16 typically refer to a source code computer.

17 CHIEF JUDGE CHENEY: And have you started
18 negotiating this agreement about this material?

19 MR. REISER: Not formally, Your Honor. I think
20 there's been some discussions about doing it, but we have
21 not done that yet, so that's underway.

22 CHIEF JUDGE CHENEY: Okay. This is something
23 that often bogs down procedural schedules, prevents
24 information from being exchanged in a timely way, so I'm
25 going to put a deadline in your procedural schedule for a

1 joint submission on that. When should that deadline be?

2 MR. REISER: For the production, Your Honor?

3 CHIEF JUDGE CHENEY: For the agreement on how
4 it's going to be produced?

5 MR. REISER: I think a week. What's that? Two
6 weeks, Your Honor.

7 CHIEF JUDGE CHENEY: Let me hear from the
8 Respondent.

9 MR. REISER: Sure.

10 MR. SMITH: Your Honor, I think to be on the
11 safe side we should do three weeks. These things take a
12 little time, so three weeks from today, I think, to get the
13 joint submission with the intent to get it in earlier,
14 obviously.

15 CHIEF JUDGE CHENEY: This is something that you
16 want reduced to an Order, right? Is that right, an
17 amendment to the Protective Order?

18 MR. REISER: Yes.

19 MR. SMITH: Supplemental PL. Correct, Your
20 Honor, regarding what we call source code, but I think
21 Complainant's counsel did a good job of describing what
22 those actual documents would be, of those process flows and
23 GDS files, and those things.

24 CHIEF JUDGE CHENEY: Okay, Complainant, can you
25 live with three weeks to get a jointly submitted proposal

1 to amend the Protective Order?

2 MR. REISER: Yes. Yes, Your Honor, as with our
3 collection, I suspect the team here is collecting it, so it
4 won't be another three weeks until we get that done, but
5 three weeks sounds fine to get it memorialized.

6 CHIEF JUDGE CHENEY: Okay, that will be June
7 23rd.

8 I just remembered something that I wanted to
9 discuss with you in your procedural schedule if you have it
10 handy.

11 You have put down the deadline promotions to
12 compel fact discovery as December 11th. The last case
13 management conference before that date is December 2nd. My
14 ground rules require that you must discuss an issue at a
15 case management conference before you file a motion to
16 compel and you have to be given leave at that conference to
17 file the motion to compel.

18 I just want to make sure that you are
19 understanding that timing. That means that your discovery
20 dispute has got to be in three days before December 2nd, if
21 you're going to file a motion to compel by December 11th.
22 Does anyone have any problem with that timing? And just so
23 the record is clear, I'm indifferent about this date. I
24 just want to make sure that you all understand how it
25 works.

1 MR. SMITH: From the Respondent's side, Your
2 Honor, we don't have a problem with that.

3 CHIEF JUDGE CHENEY: Okay.

4 MR. REISER: Nor do we, Your Honor. We'll make
5 that work.

6 CHIEF JUDGE CHENEY: Okay, so that's how that's
7 going to work.

8 Today is the day that the Respondent's Answer is
9 due, is that right?

10 MR. SMITH: Yes, Your Honor.

11 CHIEF JUDGE CHENEY: Don't leave us in suspense.
12 Tell me about all your defenses.

13 MR. SMITH: Your Honor, so there's just the
14 traditional defenses for each patent. There's five of
15 them. Six of them. Excuse me. There's a little bit of a
16 difference per patent. Traditional non-infringement
17 arguments. There'll be some claim construction arguments
18 that we'll raise before Your Honor and there's an
19 identification of claim terms in the procedural schedule
20 and then there's also, typical in these cases, a number of
21 pieces of prior Art will be both publications and also our
22 own prior Art from our company, as we've done these
23 products before.

24 So, I wouldn't say that anything that is really
25 new or different, outside the universe of these types of

1 foundry cases. I know Your Honor has had in the past and
2 I've read a few of your preliminary conferences also,
3 Judge, just a preemptive. I wouldn't say that there's any
4 aberrational or extraordinary defenses in this regard.

5 CHIEF JUDGE CHENEY: Will there be a 101
6 defense?

7 MR. SMITH: No.

8 CHIEF JUDGE CHENEY: Will there be a Latchets
9 defense?

10 MR. SMITH: I don't believe so, Your Honor.

11 CHIEF JUDGE CHENEY: Inequitable conduct?

12 MR. SMITH: No, thankfully.

13 CHIEF JUDGE CHENEY: Unclean hands?

14 MR. SMITH: I don't believe so, Your Honor. I
15 don't believe so.

16 CHIEF JUDGE CHENEY: What's the other one that I
17 keep seeing recently? Ensnarement. Ensnarement. That
18 one's coming up a lot lately. Someone must've done it.
19 Everyone got excited about it.

20 MR. SMITH: We think, potentially, Your Honor,
21 there may be one.

22 CHIEF JUDGE CHENEY: Can you tell me what
23 ensnarement means? I've never seen this defense go to
24 trial or prevail. And if it's a real defense, I'd like to
25 know about it.

1 MR. RITTER: Your Honor, we're going to start
2 with the next program right from the jump.

3 CHIEF JUDGE CHENEY: Okay.

4 MR. RITTER: My name is Matt Ritter.

5 So, ensnarement would just be regarding the
6 scope with adoption of equivalence. And so, we'd need, I
7 think, at this stage to -- well, at this stage, it'd be
8 based on our understanding of their scope based on the
9 charts that they'd filed with the Complaint and to the
10 extent of their scope of their infringement positions under
11 the Doctrine of Equivalence would cover prior Art. We
12 would say that it was ensnared by the prior Art.

13 CHIEF JUDGE CHENEY: Okay. Is there an
14 allegation of the Doctrine of Equivalence in the Complaint?

15 MR. RITTER: Yes, Your Honor.

16 CHIEF JUDGE CHENEY: Okay. Well, maybe this
17 will be the one. First time I try ensnarement. Thanks for
18 giving me the overview of the defenses.

19 Mr. Smith, is there anything that you think that
20 the defenses raise that we should talk about at the hearing
21 in terms of discovery or timing?

22 MR. SMITH: Nothing that comes up to the top of
23 mind, Your Honor. Opposing counsel and also on our side
24 have been through a number of different investigations, so
25 we're working through that. We've already started meeting

1 and conferring on it, but at this time, no, nothing, Your
2 Honor.

3 CHIEF JUDGE CHENEY: Am I correct that both of
4 your clients have been to the ITC before?

5 MR. SMITH: GlobalFoundries has, yes, Your
6 Honor.

7 CHIEF JUDGE CHENEY: Has Tower?

8 MR. SMITH: So, Your Honor, we have but I think
9 why I was pausing is, I think it's the prior iteration. It
10 used to be Jazz Semiconductor and so Jazz was definitely at
11 the ITC. I'm not sure if Tower itself has been there.

12 CHIEF JUDGE CHENEY: Can you explain how Jazz
13 became Tower?

14 MR. SMITH: Not very well, Your Honor. I think
15 there was some corporate M&A merger or acquisition, but I
16 don't know the absolute specifics and when the dates. I
17 don't think it was that long ago.

18 CHIEF JUDGE CHENEY: You mentioned in our
19 overview of your defenses that -- I think the phrase you
20 used was "We've done these products before" in talking
21 about the prior Art. Can you elaborate on that?

22 MR. SMITH: Just in terms of the types of prior
23 Art in the foundry cases, I know we were representing, for
24 example -- I was talking about the lawyers, Your Honor.
25 That's what I was talking about.

1 CHIEF JUDGE CHENEY: Okay. So, there's not a
2 position or a defense that the products that are excused of
3 infringement in this investigation were produced by Tower
4 or its predecessor and interest, Jazz, before the patent's
5 issued?

6 MR. SMITH: Not of the accused products but I
7 think there may be some prior Art and they may not be
8 accused, Your Honor, so I want to make that distinction.

9 CHIEF JUDGE CHENEY: Okay.

10 MR. SMITH: We think that there's prior Art.
11 Chips -- wafers that we've produced, we think, and we're
12 looking into that and whether they fall within the accused
13 product bucket I'm not 100 percent sure at this point, so I
14 just want to make sure I'm careful on that distinction.

15 CHIEF JUDGE CHENEY: I'm just curious. Does
16 anyone still make the pilgrimage to Chip Works in Ottawa
17 and look at the chip library for prior Art? Does that
18 still happen?

19 MR. SMITH: I think that Chip Works may've been
20 acquired or merged with Tech Insights. Am I getting that
21 wrong or is that right?

22 MR. GARDNER: That Chip Workers is?

23 MR. SMITH: Yes.

24 MR. GARDNER: They merged with Tech Insights.

25 MR. SMITH: Yes.

1 MR. GARDNER: Sorry, Eamonn Gardner, on behalf
2 of Respondents, Your Honor.

3 And their model has completely changed. This is
4 just off the --

5 CHIEF JUDGE CHENEY: It's a tangent. It's a
6 delightful tangent.

7 MR. GARDNER: They've changed their model
8 considerably in allowing that to be a cost-effective
9 option, Your Honor.

10 CHIEF JUDGE CHENEY: Oh, meaning it's not
11 anymore.

12 MR. GARDNER: That's my personal view. It's no
13 longer a cost-effective option.

14 CHIEF JUDGE CHENEY: Interesting. I spent many
15 a week in Ottawa back in the day.

16 I noticed in the discovery statement that you
17 talked about difficult teardowns. Is that going to happen
18 in this case?

19 MR. GARDNER: There will definitely be
20 teardowns, Your Honor. They'll probably be complex, so I
21 think that is what we are referring to. We're probably not
22 going to be in Ottawa doing the teardowns, but we have
23 other ways to tear the chips down these days, very similar
24 to what you've seen, though, in the Chip Works and the Tech
25 Insights reports, so it should all be fairly familiar to

1 Your Honor.

2 CHIEF JUDGE CHENEY: Okay.

3 I received a third-party statement on the public
4 interest of A New Policy, Inc. Is everyone familiar with
5 this in the record of the investigation?

6 I see Complainant's nodding. Respondent's have
7 you seen this?

8 MR. REISER: I think I may have, Your Honor, but
9 it doesn't immediately spring to mind. I believe I did
10 come across that.

11 CHIEF JUDGE CHENEY: Okay. Does anyone want say
12 anything about it and how it might relate or not relate to
13 this investigation?

14 MR. REISER: Your Honor, Bert Reiser.

15 I'm aware of that. I read it some weeks ago. I
16 know what it says. We don't really have any feeling about
17 it one way or the other.

18 CHIEF JUDGE CHENEY: Okay. Respondents,
19 anything else to say?

20 MR. SMITH: Nothing further to add on that, Your
21 Honor. Thank you.

22 CHIEF JUDGE CHENEY: Okay. Does anyone have a
23 relationship with this party?

24 MR. REISER: Complainant does not, Your Honor.

25 MR. SMITH: Respondents do not, Your Honor.

1 CHIEF JUDGE CHENEY: Okay. Any other public
2 interest things that you think are going to come up in this
3 case? I wasn't delegated public interest.

4 MR. REISER: Your Honor, Bert Reiser again.

5 No, I don't think so. Honestly, after the
6 Notice came, I stopped thinking about public interest for a
7 while, so I don't think we'll have anything for you on
8 that.

9 CHIEF JUDGE CHENEY: And Respondents?

10 MR. SMITH: I don't think so, Your Honor. And
11 the reason why I pause is that we do make chips for some
12 governmental agencies. I don't know what the volumes are
13 or what they go into, the end products, but potentially,
14 theoretically, maybe I would say but I just don't know at
15 this time.

16 CHIEF JUDGE CHENEY: So, in the remedy phase,
17 you might be talking about carve outs for government use or
18 even statutory exceptions for government use?

19 MR. SMITH: Absolutely. And Mr. Reiser and I
20 both know that very well being in the 543 investigation
21 many years ago.

22 CHIEF JUDGE CHENEY: Wow.

23 MR. SMITH: Yes, so that would come naturally to
24 us. So, yes, Your Honor, there may be something down the
25 road in the remedial phase but I think at this point

1 nothing immediate comes to mind, other than what I've just
2 spoken about.

3 CHIEF JUDGE CHENEY: Was 543 PO Center?

4 MR REISER: That's correct, Your Honor.

5 MR. SMITH: Yes, Your Honor.

6 MR. REISER: Your Honor, I didn't know that we
7 would be talking about one another's age in the preliminary
8 conference, it was unexpected. Yes, that it was. I know
9 it's a little odd, given my youthful appearance today, Your
10 Honor, the age issue.

11 CHIEF JUDGE CHENEY: I was sitting in the
12 Commission hearing room at the same time. It was a really
13 interesting day -- two days. It was two days.

14 Okay, what about any other amendments to the
15 pleadings? Complainants, are you satisfied with your six
16 patents and your many claims?

17 MR. REISER: We are satisfied, Your Honor.

18 COMMISSIONER KEARNS: Okay. Is there any hope
19 that that's going to change over the course of the
20 investigation?

21 MR. REISER: Hope? There's always hope, Your
22 Honor.

23 CHIEF JUDGE CHENEY: Okay.

24 MR. REISER: At this point, I can just tell you
25 right now we don't have an intention of trying to bring

1 anymore patents into this investigation.

2 Okay. The six patents, as I understand them,
3 are really quite independent and not overlapping; is that
4 right?

5 UNIDENTIFIED SPEAKER: They are, Your Honor. A
6 majority of them, though, do zero in on the transistor
7 portion of the chip, but they are fairly different.

8 CHIEF JUDGE CHENEY: Okay. Is the group of
9 accused products different for each patent or do all six
10 patents cover all accused products?

11 UNIDENTIFIED SPEAKER: It is different.

12 CHIEF JUDGE CHENEY: How many accused products
13 are we talking about?

14 UNIDENTIFIED SPEAKER: We don't know yet, Your
15 Honor, because we haven't received discovery on that,
16 obviously. I think, in this case, like many cases, it's
17 probably going to come down to processes as opposed to
18 products. Processes being the driver of the infringement
19 case, so we don't know exactly how many products, for
20 instance, are made using a particular process; but I think
21 what will happen is we'll, through discovery, get a better
22 understanding of their processes, understand how many
23 products that encompasses and the parties, I suspect, will
24 be able to work together to come up with a representative
25 stipulation of representative products for that based on

1 each process. That's what I anticipate will happen here.

2 CHIEF JUDGE CHENEY: I'm just thinking about
3 ways to bring order to that. On October 14th, you're
4 supposed to identify a list of all distinct accused
5 products. Is that sufficient or do we need to add some
6 more structure around the identification of processes and
7 representative products and representative processes?

8 UNIDENTIFIED SPEAKER: That's a fair question,
9 Your Honor. I think through our discovery what will happen
10 is Tower will provide us with a list of products that are
11 produced via all of the processes that are covered by the
12 scope of the investigation and our intention would be to
13 list all of those products in this submission.

14 I hadn't really thought deeply about it, Your
15 Honor, but I suspect we'd probably also identify the
16 process used to manufacture each of those products and then
17 from there we'd work backwards to come up with some kind of
18 a stipulation. So, we're not putting infringement
19 contentions in for 50 products. We're putting infringement
20 contentions in for a process that covers 50 products. So,
21 I think if we were going to add some detail to this, I
22 think it would make sense or it would be fine to say let's
23 add process and product identification on that date or an
24 earlier date but I think that's where we would end up.

25 CHIEF JUDGE CHENEY: Okay. Let's hear from the

1 Respondents about this.

2 MR. SMITH: Well, Your Honor, having been on
3 some discovery calls with you on foundry cases, I think
4 you're well versed on sort of this chicken and egg issue
5 that comes up and that we're a foundry. We don't make the
6 end product. We make wafers and there is process flows, 65
7 nanometers RF process and then there's modifications and
8 slight variance to that that actually make individual
9 different wafers and chips, if you will. And so, what
10 we've been doing, and we've kicked it off and we're going
11 to keep going back and forth, is how we can come up with a
12 principle way of focusing in on discovery on that issue.
13 And then, if they're going to accuse the process, they
14 accuse the process because that product isn't ours. It's a
15 customer product and they customize that.

16 So, we're working through issues, Your Honor,
17 because there could be thousands of different types of
18 variance on the chips for each process and it would be
19 impractical to go down that line and we'd probably need
20 third-party permission to get discovery on that too because
21 they own the rights to those designs. So, we're looking at
22 a principled way to try to work through to get them what
23 they need because, generally, these processes is a high
24 level work the same, but we're going back and forth on this
25 and we're going to work through this over the coming weeks.

1 So, that's where we are.

2 So, the identification of products early is
3 fine, but really predicate for that is coming up with a
4 baseline of we're going to give them information and the
5 process flows and then we're going to work through that to
6 see how far we need to go down.

7 CHIEF JUDGE CHENEY: Here's a problem that I see
8 having been through a few foundry process cases is the
9 Complainant says tell me everything that's made by this
10 process and the Respondent looks at that and say are you
11 kidding? If I answer this Interrogatory, it means I'm
12 admitting that I'm an infringer because I'm telling you
13 that I'm making it by the process that you've claimed and
14 so the Respondent doesn't want to do that.

15 So, how are we going to move this forward away
16 from this what Mr. Smith has called the chicken and the egg
17 about what you're asking for and what they do?

18 MR. SMITH: Your Honor, our suggestion is,
19 again, opposing counsel and also on our side have been
20 through this a number of times to see if we can work
21 through this on our own for the next few weeks to see if we
22 can come up with a principle way to get them what they need
23 without overburdening us with every single variation of a
24 chip that made with a number of different processes, right?
25 There's a number of different processes and to try to work

1 through that, Your Honor.

2 And then, if we need judicial intervention to
3 come see you -- we have a management conference up, I
4 believe.

5 CHIEF JUDGE CHENEY: We always do. Every 30
6 days we've got one coming up.

7 MR. SMITH: Right. And so, we're early in this
8 process and I think, again, we have a good relationship and
9 we think we can get them the initial process flows and then
10 work from there. And then, if necessary, we can address
11 this on the next management conference. That's what I
12 would suggest, Your Honor. I haven't talked to the
13 Complainant's counsel, to be fair, about that specific
14 detail but that's what we suggest at this point.

15 CHIEF JUDGE CHENEY: So, Complainants, Mr. Smith
16 suggests that this isn't ripe for us to do anything today.
17 Do you agree?

18 MR. REISER: There's certainly no dispute yet,
19 Your Honor. I don't know from a discovery perspective if
20 Tower is going to take the position that identifying the
21 products made by the process is not discoverable. I would
22 think that is discoverable, so we're going to figure out
23 what processes fall within the scope of the investigation.
24 We'll get the process flows for those. Now we know, okay,
25 Process A, we have the process flows.

1 Next question is going to be what chips do you
2 manufacture using this process and then, I think, that
3 would tell us all of the potential chips to list in our
4 list. My understanding is that's discoverable. The Court
5 said the Respondents will say I don't want to tell you that
6 because it means it's an admission of infringement. Maybe
7 I misunderstood what was happening there but, to me, that's
8 just discovery into what chips are being manufactured using
9 an accused process, but I could be missing something,
10 though.

11 CHIEF JUDGE CHENEY: No.

12 MR. REISER: Okay.

13 CHIEF JUDGE CHENEY: My concern is how do you
14 know what Process A is?

15 MR. REISER: That will require discussions,
16 discovery. We've identified a handful of processes in our
17 Complaint. We, for instance, know that Tower has RF
18 processes. We know that they have DCD processes. I think
19 that part of the discussion is useful to have. The parties
20 will have that and then we'll try and figure out where we
21 land. Once we have that, and there may be a dispute, Your
22 Honor.

23 We may say did you tell us all your RF
24 processes? And Tower say -- they say, no, we're not going
25 to and then we'll have to come to you and figure that out,

1 but I think once we kind of nail down the processes within
2 the scope of the investigation, the next step of what chips
3 are made, from our perspective, is a discoverable,
4 reasonable request.

5 CHIEF JUDGE CHENEY: I'm actually not very
6 concerned about getting a list of chips made according to a
7 certain process. I think that's pretty each.

8 MR. REISER: Yes.

9 CHIEF JUDGE CHENEY: I think what is going to be
10 more challenging is formulating your request about the
11 processes that you want information on.

12 MR. REISER: I agree, Your Honor. That is an
13 Art and it usually ends up with something before the Court.
14 What we try to do is to have as many conversations as we
15 can with Towers' counsel. We have a general understanding
16 of what's being produced and where, but we don't know, for
17 instance, how many RF processes they have and what path is
18 in Israel. I think once we learn that we can have
19 discussions about what process flows need to be produced.

20 I don't have a perfect answer for this, Your
21 Honor, other than it's a process that the parties go
22 through to try and figure out what processes fall under the
23 scope of the investigation. Having experienced counsel who
24 knows how foundries work, I think that will help but, as of
25 today, I don't think I have a better answer for you, other

1 than we have to try and figure that out together.

2 CHIEF JUDGE CHENEY: Okay. So, you would agree
3 that this isn't ripe for any discussion about deadlines or
4 dates today. You need to take a stab at it first.

5 UNIDENTIFIED SPEAKER: Yes, I think we should
6 take a stab at it first.

7 MR. SMITH: We agree, Your Honor. And just to
8 add a little bit of color to this. It's not that there's a
9 monolithic process for 65 nanometer RF. There could be all
10 these spider sub-variations to that and that these
11 conversations that I think we need to have to say, hey, is
12 it the general process? Here's the general process. This
13 is what you're accusing. How far are we going to drill
14 down? And then, from there, there's all these different
15 chips involved.

16 So, I think we need to have an iterative process
17 with the Complainants to walk them through that and see what
18 they really need.

19 MR. SMITH: Yes, Your Honor, we don't think it's
20 ripe to put in a date at this point.

21 CHIEF JUDGE CHENEY: Anything to add, Counsel?

22 UNIDENTIFIED SPEAKER: We were just thinking
23 about it might be worthwhile for the parties to agree on a
24 deadline for maybe getting a stipulation in on
25 representativeness, but we could talk about that, but that

1 might not be a bad idea. It'll kind of force the issue to
2 either to be brought to you early or force the issue in a
3 sense that the parties will work harder to get it done.

4 CHIEF JUDGE CHENEY: The representative what?
5 Representative processes, representative chips?

6 UNIDENTIFIED SPEAKER: It would probably be,
7 Your Honor, a chip that's representative of a process
8 because for purposes of infringement, as you probably are
9 well aware, we'll be pointing to various features,
10 concentrations of elements within a particular picture, and
11 sometimes you can use one chip that's representative of an
12 entire process. That's very helpful.

13 If we can't reach that, then it's much more
14 complicated process. We have much longer expert reports
15 and our proofs are very long, but usually it's kind of too
16 painful for both sides to do that and they reach agreement
17 on some representativeness. So, having a deadline in the
18 procedural schedule might be a good idea and I'm happy to
19 continue to talk to Towers counsel about that.

20 CHIEF JUDGE CHENEY: Your thoughts, Mr. Smith?

21 MR. SMITH: Conceptually, we don't have a
22 problem that if the parties can agree on representativeness
23 that they'd be a date closer towards the end of fact
24 discovery. I think, conceptually, that that shouldn't be
25 an issue. Whether we get there, obviously, the devil's in

1 the details. So, I think, conceptually, we'd be okay with
2 that as long as we all recognize we may not get to
3 representative products on any these or some processes or
4 some combination in between.

5 CHIEF JUDGE CHENEY: Mr. Naples, did you want to
6 add anything?

7 MR. NAPLES: No, Your Honor.

8 CHIEF JUDGE CHENEY: What if I were to add some
9 language on October 14th, which is the day when you have
10 independently agreed to list distinct accused products,
11 that you will also on that date identify what you think are
12 representative products to each other? And then, if you
13 need to negotiate further after that, you will, or is that
14 too late?

15 MR. NAPLES: I think that might actually be too
16 late, Your Honor. I don't think we would want to wait that
17 long to try and start that process. I think if you're
18 talking about the parties doing that.

19 CHIEF JUDGE CHENEY: We can do it in stages. We
20 could have a deadline for you to talk and say here's what I
21 think are representative and then you have a deadline for
22 any submission or dispute that I need to resolve, two
23 different deadlines.

24 MR. NAPLES: I like that, Your Honor.

25 CHIEF JUDGE CHENEY: Do you want to throw out

1 some dates?

2 MR. NAPLES: I would ask when -- I don't want to
3 put Counsel on the spot, but I would want to know when they
4 believe they'll be kind of substantially complete with
5 their process flow productions because that's going to
6 drive a lot of this.

7 CHIEF JUDGE CHENEY: Well, they're not going to
8 produce anything for three weeks until you have your
9 agreement about how you're going to produce things.

10 MR. SMITH: Your Honor, if I may too, what
11 informs whether there's going to be representative products
12 or what are they pointing to, what specificity? And so,
13 it's not just these products in a vacuum. It's how are you
14 accusing them, what features are you accusing and why. And
15 so, really, that will drive a lot of this process more than
16 just, oh, we think these products in a vacuum are the same.
17 So, to me, later is better because unless those preliminary
18 Contentions are going to be pristine and comprehensive, the
19 list of representative products could change dramatically
20 based upon information coming out and their Contentions and
21 claim construction, for example. So, I hesitate to do this
22 process way too early.

23 CHIEF JUDGE CHENEY: Yes, I don't want to do it
24 too early. I don't want to do it too late. I want to do
25 it just right. So, when are you going to be doing some

1 production so that the Complainant can start analyzing some
2 stuff and start getting their thoughts together about what
3 is similar to what. This is just rough. Just give me an
4 idea.

5 MR. SMITH: Over the next few weeks, Your Honor.
6 I don't have a pinpoint date.

7 CHIEF JUDGE CHENEY: Okay. So, let's say that
8 you're going to spend six weeks doing that. So, that takes
9 us to mid-July. What if we gave Complainant a couple weeks
10 to look at what you've product? That takes us to August
11 1st? Is that a good date to have Complainants and
12 Respondents talk to each other about representativeness?

13 MR. NAPLES: I would say August 15th, Your
14 Honor, given the complexity of the information we're going
15 to be receiving from them and the fact that it's going to
16 be on a source code computer, so I think two weeks is a
17 little ambitious but I do think another two weeks, so it
18 would be a month, which would put us in -- you know, by
19 August 15th or thereabouts is a good target.

20 CHIEF JUDGE CHENEY: What say you, Mr. Smith?

21 MR. SMITH: I, Your Honor, say the end of
22 August. We're going to be in the middle of claim
23 construction briefing, so we need to see how they're
24 reading the claims, what the constructions are before we
25 can have an intelligent conversation about what products

1 are representative.

2 CHIEF JUDGE CHENEY: What if we put it the
3 Friday after Labor Day?

4 MR. NAPLES: For the initial --

5 CHIEF JUDGE CHENEY: For you all to present to
6 each other your view on what is representative?

7 MR. NAPLES: That seems reasonable to the
8 Complainants, Your Honor.

9 MR. SMITH: We agree, Your Honor.

10 CHIEF JUDGE CHENEY: I'm just confirming this on
11 my calendar. That is September 11th. Is that an
12 inauspicious day? Do you want to make it the 10th?

13 MR. NAPLES: 11th is fine with us, Your Honor.

14 MR. SMITH: 11th is fine, Your Honor.

15 CHIEF JUDGE CHENEY: Okay, September 11th.

16 MR. SMITH: Thank you.

17 CHIEF JUDGE CHENEY: We'll put a deadline in for
18 parties to exchange proposed representative product
19 groupings. Does that sound right?

20 MR. NAPLES: Yes, Your Honor.

21 CHIEF JUDGE CHENEY: Okay. And then, we'll just
22 leave the October 14th date as the date that the
23 Complainant is going to file the list of all accused
24 products and agreed representative products.

25 MR. NAPLES: Assuming we can reach agreement

1 that they're representative, yes.

2 CHIEF JUDGE CHENEY: Okay.

3 MR. NAPLES: With that caveat, we agree, Your
4 Honor.

5 CHIEF JUDGE CHENEY: This issue often goes to
6 trial. I know it's hard to predict whether it's going to
7 go to trial at this time, but in your experience if you
8 think it is going to go to trial, then I will not put
9 something on the procedural schedule.

10 MR. SMITH: This has all the earmarks of going
11 to trial. They're competitors. There's another Court
12 case, Your Honor, so I think this will go to trial.

13 CHIEF JUDGE CHENEY: Okay.

14 MR. SMITH: I think the parties working together
15 to try to come up with representative products is great,
16 and given that we're both experienced in foundry cases
17 before, down this road, we're going to try to do that, but
18 as Your Honor as just observed, often there's a fight of
19 the representativeness of the product because it's bound up
20 in claim construction and the infringement and
21 non-infringement and the like.

22 CHIEF JUDGE CHENEY: So then, on October 14th, I
23 will have the parties present their representative
24 proposals to the Tribunal, is that right?

25 MR. SMITH: That is good with us, Your Honor,

1 from the Respondents' point of view.

2 MR. NAPLES: Yes, same for Complainants, Your
3 Honor.

4 CHIEF JUDGE CHENEY: Because then I'll have
5 something to like hold your feet to the fire and hash out
6 with you and maybe we can actually resolve the issue before
7 trial if you can't show me substantial differences when we
8 have those lists and then maybe I could issue a factual
9 finding under the Summary Determination Rule that I find
10 these facts are -- no one's shown me a material dispute of
11 facts that this is different than this. And then, maybe
12 that would help us focus the mind for trial. Just some
13 thoughts for you all to think about, for me to think about,
14 too.

15 Okay. Any other stipulations? For example,
16 importation, domestic industry, economic prong? Is there a
17 hope of other things falling out of the case because
18 they're not in dispute?

19 MR. NAPLES: We haven't talked to Respondents'
20 counsel about these, perhaps economics, domestic industry,
21 I think those kinds of things the parties may not end up
22 litigating, but like I said, we haven't discussed any of
23 that yet. So, at this time, I don't think we have any
24 proposals for other stipulations, Your Honor.

25 CHIEF JUDGE CHENEY: Is the Complainant relying

1 on any licensees to prove its domestic industry?

2 MR. NAPLES: No, Your Honor.

3 CHIEF JUDGE CHENEY: Okay. So, you have all the
4 information in your own possession?

5 MR. NAPLES: Yes, Your Honor.

6 CHIEF JUDGE CHENEY: Okay. Let me hear from
7 Respondents. Are we going to fight about the economic
8 prong in this investigation?

9 MR. SMITH: At this juncture, Your Honor, I
10 don't know. Again, we've been down this road a million
11 times before. We've stipulated to it in other
12 investigations. If it makes sense, we will. I'm sure
13 there'll be some stipulations between the parties. At this
14 point, we haven't broached them and I don't think we have
15 enough facts really to make an informed decision, but
16 expect there will be stipulations in this case.

17 CHIEF JUDGE CHENEY: Okay. Let me just give you
18 my pitch. Sometimes litigants want me to understand their
19 position really well because it's nuanced and complexed and
20 I need to understand it for them to prevail. And sometimes
21 litigants actually don't want me to understand their
22 position very well because it's not very well-founded and
23 the deeper I look the weaker it gets.

24 I'm going to advocate for the former and not the
25 latter. That if you can agree to as much as you can agree

1 to, I will have more time, especially in a six patent case,
2 to understand your nuanced defenses or your nuanced
3 infringement arguments. So, I still dream of the day where
4 someone stands up at trial and says, Your Honor, the only
5 dispute is Element 8(c). We concede that the prior Art
6 discloses everything except that or that we concede our
7 device has everything except that.

8 I don't know why parties don't want to do that.
9 Maybe they're very fond of marching through five hours of
10 expert testimony about things that are not in dispute.
11 Parties must like to do it because it happens over and over
12 and over again. And think maybe there's some concern that
13 there's going to be some kind of gotcha on the part of the
14 Commission that we didn't think you proved up something
15 that you all agreed that you proved up. I have no interest
16 in that, so if you can come to agreements about what we're
17 going to try that's helpful for everyone.

18 The other thing I will say about that is if you
19 could please try to use the same nomenclature about how you
20 break down the claims into constituent parts. If you would
21 spend two minutes at one of your conferences and say can we
22 break down Claim 17 this way and agree to the parts. That
23 is very helpful.

24 To go beyond that, it would be delightful if
25 your briefs actually engaged with other, section by

1 section. I know some people are fond of the creative brief
2 structure. It rarely helps the decision maker, even though
3 your brief might read beautifully in a vacuum, that's not
4 how I read your brief. I don't read your brief in a
5 vacuum. I read it in the context of the other party's
6 brief. And if the two briefs don't engage, I think it
7 disservices both parties. So, the more that your briefs can
8 be structured similarly and engage the disputed points of
9 the other side that's, I think, helpful to your client.

10 Someone mentioned that there's a District Court
11 litigation. Who wants to tell me more about that?

12 MR. NAPLES: There is a parallel District Court
13 litigation that's been stayed, Your Honor, and then there
14 is a separate District Court litigation with a different
15 set of patents pending in the Western District of Texas.

16 CHIEF JUDGE CHENEY: And that is not stayed?

17 MR. NAPLES: That is not stayed.

18 CHIEF JUDGE CHENEY: Who is that before?

19 MR. NAPLES: That is before currently Judge
20 Gillman is the Magistrate Judge and Judge Counts is the
21 Judge.

22 CHIEF JUDGE CHENEY: So, that is a competitor
23 case also?

24 MR. NAPLES: Yes, it's the same parties, Your
25 Honor -- oh, basically the same parties.

1 CHIEF JUDGE CHENEY: Are there counterclaims?

2 MR. NAPLES: Not yet, Your Honor.

3 CHIEF JUDGE CHENEY: Who filed the case?

4 MR. NAPLES: GlobalFoundries filed the case.

5 CHIEF JUDGE CHENEY: And you suspect that Tower
6 is going to file counterclaims on their own facts?

7 MR. NAPLES: I don't know. Actually, I just do
8 not know, Your Honor. They have not answered yet, I
9 believe.

10 CHIEF JUDGE CHENEY: Okay, so that means the
11 case is pretty young, less than a couple months?

12 MR. NAPLES: The case is very young. We filed
13 it at the same day we filed the investigation here, Your
14 Honor. In Judge Gillman and Judge Counts courtroom, there
15 will be -- actually, not a lot of discovery happens before
16 claim construction and I don't want to get it wrong, but I
17 anticipate that probably won't happen for about nine
18 months. So, in between there, there's invalidity
19 Contentions and these patents are not related to the
20 patents in this case, but yes, the case is very young.
21 We've granted the other side an extension of time to
22 answer. There were some foreign Defendants in that case,
23 so we gave them 90 days. So, yes, very early right now,
24 Your Honor.

25 CHIEF JUDGE CHENEY: Are the same products at

1 play?

2 MR. NAPLES: I don't believe it is entirely the
3 same class of products.

4 CHIEF JUDGE CHENEY: But there may be some
5 overlap of products?

6 MR. NAPLES: Yes.

7 CHIEF JUDGE CHENEY: Okay.

8 MR. NAPLES: But as you can imagine, it may be a
9 different feature in that product, yes.

10 CHIEF JUDGE CHENEY: So, you think we're going
11 to get to trial in this investigation before you have a
12 Claim Construction Order out of Texas?

13 MR. NAPLES: It's possible, Your Honor. For our
14 next meeting with you, I'll make sure to check that and let
15 you know but that's possible, yes.

16 CHIEF JUDGE CHENEY: Okay. Anything Respondents
17 want say about the Texas litigation?

18 MR. SMITH: Not at this time, Your Honor.

19 CHIEF JUDGE CHENEY: You don't want to tell me
20 if you're going to file some counterclaims?

21 MR. SMITH: I don't, Your Honor.

22 CHIEF JUDGE CHENEY: Fair enough. You're all
23 incredibly good sports.

24 Next, Advocates Program, I was pleased to hear
25 that Mr. Ritter is an ex-Advocate and that tells me that

1 you've given some thought to how this program might be used
2 in the investigation. If there's anything you'd like to
3 share with me about how you intend to use Next Advocates in
4 the course of the investigation, now is your time to do so.
5 Anything from Complainants?

6 MR. REISER: Your Honor, we have a practice,
7 which I think you're familiar with, of identifying people
8 who qualify and giving them an opportunity to take a
9 witness at trial or argue a matter before Your Honor before
10 trial. We feel as strongly about it as you and the
11 Commission do, so we will think about that a lot between
12 now and the time we come before you at the hearing.

13 CHIEF JUDGE CHENEY: Great. Anything from
14 Respondents?

15 MR. SMITH: Just to add, Your Honor, we do
16 everything we can to actually get an ex-Advocate witness
17 during the hearing, so that is a very important focus for
18 us and that we intend to do that in this case as well.

19 CHIEF JUDGE CHENEY: Great. Thank you.

20 I will mention that the Commission is conducting
21 a Next Advocates Trial Program on September 3rd in
22 conjunction with the ITCTLA. So, if you have people at
23 your firm that want to participate in that mock trial
24 program, contact the TLA.

25 Let me just say a couple of other things.

1 First, my desire is to try this case on the merits. If
2 you're read enough of these prehearing transcripts or
3 preliminary conference transcripts, you know that I've said
4 this many times.

5 I don't want to decide the investigation on the
6 basis of sanctions because something wasn't turned over in
7 discovery that should've been. That's not good for the
8 purpose of the investigation, which is to ferret out unfair
9 trade practices. It's not good for the law firms or the
10 clients. It's not good for me as an adjudicator, so I'd
11 really rather just have all the information I need to make
12 a decision on the merits in this investigation.

13 So, as you're going through the discovery
14 process, talking with your clients, if you need a point of
15 leverage with client, you can tell them that you were here
16 in the courtroom and you heard me say that Judge Cheney
17 said that if this information would help him decide the
18 case on the merits, he's probably going to rule in favor of
19 its disclosure. So, that will help you get your discovery
20 disputes resolved more quickly because it sounds like
21 there's a lot of litigation between these parties. There's
22 going to be a temptation to use discovery as a weapon in
23 this big battle. I would urge you to try to not do that in
24 my courtroom. Let's just get the information that we need
25 to decide the issues and let's not waste time or money or

1 expense with things that aren't int hat direct.

2 There's a lot of things I'm sure you would like
3 to know that might be useful elsewhere. It's not the
4 purpose of this investigation. I just need the information
5 to decide this case on the merits. No more, no less.

6 The other thing I'd like to mention is it seems
7 like this investigation is ultimately going to result in
8 some kind of settlement between these two parties. I don't
9 foresee either party going out of business. And so,
10 because it is going to result in a settlement between the
11 parties, I would encourage you to hasten that along by
12 talking about it soon.

13 Was there any kind of demand issued by the
14 Complainant before the lawsuits were triggered?

15 MR. NAPLES: There was not, Your Honor.

16 CHIEF JUDGE CHENEY: Okay. So, the parties have
17 not engaged in discussion before this litigation?

18 MR. NAPLES: That's correct.

19 CHIEF JUDGE CHENEY: Does anyone have thoughts
20 they'd like to share with me about what might help this
21 case settle?

22 MR. NAPLES: Nothing at this time, Your Honor,
23 actually.

24 CHIEF JUDGE CHENEY: Okay.

25 MR. NAPLES: I wish I had more to say, but I

1 don't right now.

2 CHIEF JUDGE CHENEY: Anything you wanted to add,
3 Mr. Smith?

4 MR. SMITH: No, Your Honor. I think nothing
5 beyond the normal Orders coming through. Claim
6 Construction Orders, what's going on in the District
7 Courts, those sort of things, so nothing beyond the normal.

8 CHIEF JUDGE CHENEY: Okay. I've been here at
9 the Commission for a while now, but in a former job over at
10 FERC I settled every single one of my cases. Now that is
11 also widely the practice at FERC. To get to trial, you
12 have to meet with a Settlement Judge and the Settlement
13 Judge must declare an impasse before you can advance to
14 getting a trial. And that process was -- I learned a lot.
15 They gave me really good training. They sent me to the
16 National Judicial College to learn how to settle cases and
17 it's something I believe in and something that I'm very
18 willing to help parties do. The Administrative Procedure
19 Act says that the Presiding Administrative Law Judge can
20 hold settlement conferences.

21 If you're not comfortable having a settlement
22 conference with me because I'm your trial Judge, but you
23 think that there might be a Judge here at the ITC that you
24 would benefit from having a settlement conference with, if
25 you both agree to that and let me know, I will try to

1 facilitate that.

2 I am also perfectly comfortable being your
3 Settlement Judge and your Trial Judge, but if you want me
4 to conduct meaningful settlement discussion with you, I'd
5 need you to agree to that on the record that you're not
6 objecting to that and that you're both consenting to a
7 confidential settlement process.

8 I think that settlement and non-litigation
9 solutions are really great, especially when you have good,
10 competent like I see before me that can advise their client
11 about their risks and their interests. And of course, I
12 would hope that you would go and tell your clients that I
13 said that if they engage in meaningful settlement and are
14 able to come to an agreement that they can live with that
15 allows them to go on about their business, which is why
16 they exists, to make chips and to innovate and to advance
17 all the useful things that we get from semiconductors
18 instead of spending time and money in litigation toward an
19 end that is almost certainly going to be a settlement
20 agreement in my experience.

21 That is my pitch about settlement. That brings
22 me to the conclusion of everything I wanted to talk about
23 today, but now is your time to ask me about my ground rules
24 or any other issues in this investigation that you think
25 would be productive to discuss.

1 MR. NAPLES: Nothing from Complainant, Your
2 Honor.

3 CHIEF JUDGE CHENEY: Okay.

4 MR. SMITH: Nothing further from the
5 Respondents, Your Honor. Thank you.

6 CHIEF JUDGE CHENEY: It's been a really good
7 discussion today. Thanks for your preparation and I really
8 look forward to learning about these interesting processes
9 in the course of this investigation. I wish you good
10 health and we are now off the record.

11 (Whereupon, at 4:13 p.m., the preliminary
12 conference was concluded.)

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1 CERTIFICATE OF REPORTER
2 TITLE: Certain Semiconductor Devices, Products
3 Containing Same, Components Thereof
4 INV. NO: 337-TA-1500
5 HEARING DATE: 6-2-26
6 LOCATION: Washington, DC
7 NATURE OF HEARING: Preliminary Conference

8 I hereby certify that the foregoing/attached
9 transcript is a true, correct and complete
10 record of the above-referenced proceeding(s) of
11 the U.S. International Trade Commission.
12 DATE: 6-2-26
13 SIGNED: Mark A. Jagan
14 Signature of the Contractor or the
15 Authorized Contractor's Representative

16 I hereby certify that I am not the Court
17 Reporter and that I have proofread the
18 above-referenced transcript of the proceedings
19 of the U.S. International Trade Commission,
20 against the aforementioned Court Reporter's
21 notes and recordings, for accuracy in
22 transcription in the spelling, hyphenation,
23 punctuation and speaker identification and did
24 not make any changes of a substantive nature.
25 The foregoing/attached transcript is a true,
correct and complete transcription of the
proceedings.
SIGNED: Christopher Weiskircher
Signature of Proofreader

I hereby certify that I reported the
above-referenced proceedings of the U.S.
International Trade Commission and caused
to be prepared from my tapes and notes of
the proceedings a true, correct and
complete verbatim recording of the
proceedings.
SIGNED: Jemima Brennan
Signature of Court Reporter